DAILY ACTIVE RECALL · MASTER MATRIX & FACTS

INDIAN ECONOMY

भारतीय अर्थव्यवस्था — उच्च-प्राथमिकता पुनरावलोकन

National Income Aggregates, 12 Five-Year Plans & Models, RBI Monetary Policy (Repo/SDF/CRR), CPI vs WPI, Fiscal Deficits, Finance Commission (15th/16th), and Poverty Committees.

- **High-Yield Ratta Matrix**
  Concentrated prelims facts, tables & comparisons
- **Examiner Trap Eliminators**
  Confused pairs and high-frequency exam traps
- **15–20 Min Daily Read**
  Formulated for active morning memory drills
- **Exam-Aligned Coverage**
  Curated strictly for UPPSC Prelims, RO/ARO & BEO

UP-PCS & UK-PCS Examination Resource
General Studies Paper 1 · Prelims Fast-Recall Desk

Daily Revision Master Edition · 2026
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Daily Read — High-Yield Revision Facts (Indian Economy)

★ UPPCS & UKPCS Prelims Daily Fact Dump · Active Recall Cheat-Sheet

Exam Focus: UPPSC Prelims (Paper 1), UKPSC Prelims (Paper 1), RO/ARO, BEO
Frequency: Daily morning read (15–20 mins)
Question Types Covered: National Income aggregates, Five-Year Plans & Models, Monetary Policy instruments (Repo/SDF/MSF/CRR/SLR), Money Aggregates (M1–M4), Inflation indices (CPI vs WPI), Fiscal Deficit formulas, Finance Commission devolutions, Banking Nationalisation, Priority Sector Lending (PSL), Agricultural Revolutions, Poverty Committees (Tendulkar, Rangarajan, Lakdawala), International Financial Institutions (IMF, World Bank, WTO, ADB, AIIB), Global Reports & Indices.

1. National Income Aggregates & Macroeconomic Formulas

Concept / Metric	Formula / Technical Definition	Key Exam Traps & Prelims Triggers
GDP at Market Price	$GDP_{MP} = C + I + G + (X - M)$	Total market value of all final goods & services produced **within the domestic territory** in 1 year. Foreigners earning in India included; Indians earning abroad excluded.
GNP at Market Price	$GNP_{MP} = GDP_{MP} + NFIA$	Measures income earned by **nationals/citizens** regardless of geographical location. $NFIA$ = Net Factor Income from Abroad (Factor income from abroad $-$ Factor income paid abroad).
NNP at Market Price	$NNP_{MP} = GNP_{MP} - \text{Depreciation}$	Deducts consumption of fixed capital (depreciation). **Depreciation is also called Capital Consumption Allowance**.
NNP at Factor Cost (National Income)	$NNP_{FC} = NNP_{MP} - \text{Net Indirect Taxes (NIT)}$	Traditional official definition of **National Income**. Net Indirect Taxes (NIT) = Indirect Taxes $-$ Subsidies.
Gross Value Added (GVA)	$GVA_{Basic} = GVA_{Factor Cost} + \text{Production Taxes} - \text{Production Subsidies}$	Since 2015, India measures headline GDP as: **$GDP_{MP} = GVA_{Basic} + \text{Product Taxes} - \text{Product Subsidies}$**. Base year changed to **2011–12**.
Personal Disposable Income (PDI)	$PDI = \text{Personal Income} - \text{Direct Taxes} - \text{Miscellaneous Fees/Fines}$	Actual income available to households for consumption expenditure and savings.
Real GDP vs Nominal GDP	$\text{Real GDP} = \frac{\text{Nominal GDP}}{\text{GDP Deflator}} \times 100$	Real GDP is calculated at **constant base year prices** (eliminates inflation impact). Nominal GDP is at current prices.
GDP Deflator	$\frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$	Most comprehensive measure of inflation in an economy because it covers **all goods and services** produced, unlike CPI/WPI which use a fixed basket.

Examiner Trap: Transfer payments (old age pensions, unemployment allowance, student scholarships) are **excluded** from National Income because no corresponding production of goods or services occurs. Second-hand goods sales are also excluded (only broker commission is included).

2. Five-Year Plans (FYP) & NITI Aayog Master Matrix

Plan & Duration	Model / Architect	Core Objective / Strategy	Key Milestones & Exam Triggers
1st FYP (1951–56)	**Harrod-Domar Model**	Agriculture, irrigation, price stability	Bhakra-Nangal, Hirakud, Damodar Valley dams launched; Target 2.1%, Achieved 3.6%.
2nd FYP (1956–61)	**P.C. Mahalanobis Model**	Rapid industrialisation, Heavy & Basic Industries	Steel plants at **Bhilai** (USSR), **Rourkela** (Germany), **Durgapur** (UK); Industrial Policy Resolution 1956.
3rd FYP (1961–66)	John Sandy & Sukhamoy Chakravarty	Self-reliant & self-generating economy	**Bokaro Steel Plant** (1964, USSR), FCI & CACP set up (1965). Plan failed due to 1962 China War, 1965 Pak War, 1965–66 Severe Drought.
Plan Holiday (1966–69)	Three Annual Plans	Green Revolution rollout	Devaluation of Indian Rupee (1966); High-Yielding Varieties (HYV) seeds introduced.
4th FYP (1969–74)	D.R. Gadgil Formula	Growth with stability & progressive self-reliance	**14 Major Commercial Banks Nationalised** (19 July 1969); Pokhran-I Nuclear Test (*Smiling Buddha*, 1974); 1971 Indo-Pak War.
5th FYP (1974–79)	D.P. Dhar Model	**Garibi Hatao** (Poverty Eradication) & Self-reliance	**20-Point Programme** (1975); Minimum Needs Programme (MNP); Terminated 1 year early in 1978 by Janata Govt.
Rolling Plan (1978–80)	Gunnar Myrdal concept	Annual revisions without fixed 5-year lock	Introduced by Janata Govt (Morarji Desai); ended when Congress returned in 1980.
6th FYP (1980–85)	Investment & Modernisation	Poverty eradication, economic & tech self-reliance	**NABARD established** (12 July 1982, Shivaraman Committee); **EXIM Bank** (1982); **6 more banks nationalised** (1980).
7th FYP (1985–90)	Pranab Mukherjee / Lakdawala	Food, Work & Productivity	Speed Post (1986); SEBI formed (1988); Jawahar Rozgar Yojana (JRY, 1989).
Annual Plans (1990–92)	Balance of Payments Crisis	Structural reforms & crisis stabilization	**LPG Reforms (1991)**: Liberalisation, Privatisation, Globalisation under P.V. Narasimha Rao & Dr. Manmohan Singh.
8th FYP (1992–97)	John W. Miller Model	Human Resource Development (employment, education)	India joined **WTO** (1 Jan 1995); National Stock Exchange (NSE) operationalised.
9th FYP (1997–2002)	Social Justice & Equality	Growth with Social Justice and Equity	50 years of Indian Independence; Asian Financial Crisis backdrop.
10th FYP (2002–07)	Target 8% GDP Growth	Doubling per capita income in 10 years, reduce poverty by 5%	National Rural Employment Guarantee Act (**NREGA**, 2005); Bharat Nirman.
11th FYP (2007–12)	C. Rangarajan / Montek Singh	**Faster and More Inclusive Growth**	Right to Education (RTE Act, 2009); National Rural Livelihoods Mission (NRLM).
12th FYP (2012–17)	Final Five-Year Plan	**Faster, More Inclusive and Sustainable Growth**	Terminated; replaced by NITI Aayog 15-Year Vision, 7-Year Strategy & 3-Year Action Agenda.

NITI Aayog (National Institution for Transforming India): Formed on **1 January 2015** replacing the Planning Commission (15 March 1950). Non-constitutional, non-statutory extra-constitutional think tank. Chairperson: **Prime Minister**. Governing Council comprises all State Chief Ministers, UT Lt Governors/CMs. Operates on **Bottom-Up** approach and **Cooperative Federalism** (unlike top-down Planning Commission).

3. Monetary Policy, RBI Instruments & Money Supply Aggregates

A. RBI Monetary Policy Instruments Master Table

Instrument	Nature / Category	Operational Mechanism & Definition
Cash Reserve Ratio (CRR)	Quantitative / Direct	Percentage of Net Demand and Time Liabilities (NDTL) commercial banks **must keep with RBI in cash**. No interest paid by RBI on CRR. Governed by RBI Act, 1934 (Sec 42).
Statutory Liquidity Ratio (SLR)	Quantitative / Direct	Percentage of NDTL commercial banks **must maintain with themselves** in approved liquid assets (Cash, Gold, Govt Securities). Governed by Banking Regulation Act, 1949 (Sec 24).
Repo Rate	Quantitative / Indirect	Rate at which RBI lends short-term money to commercial banks against **government securities as collateral** (repurchase agreement). Primary policy rate.
Reverse Repo Rate	Quantitative / Indirect	Rate at which RBI borrows short-term funds from commercial banks against government securities.
Standing Deposit Facility (SDF)	Quantitative / Liquidity	Introduced in April 2022 under amended RBI Act (Sec 17). Allows RBI to absorb excess liquidity from commercial banks **without providing any collateral (G-Secs)**. Replaced Reverse Repo as floor of LAF corridor.
Marginal Standing Facility (MSF)	Quantitative / Liquidity	Penal rate at which scheduled commercial banks can borrow overnight funds from RBI by dipping into their SLR quota (up to prescribed limit). Ceiling of LAF corridor.
Bank Rate	Quantitative / Long-term	Rate at which RBI buys or rediscounts bills of exchange or commercial papers; benchmark for penal interest rates on non-compliance with reserve requirements.
Open Market Operations (OMO)	Quantitative / Market	Outright purchase and sale of Government Securities (G-Secs) by RBI in open market to inject or absorb durable liquidity.
Moral Suasion, Credit Rationing, Margin Requirements	Qualitative / Selective	Directives to banks to channel credit to specific priority sectors, control speculative borrowing, and regulate loan-to-value (LTV) ratios.

B. Money Supply Measures (Monetary Aggregates)

- **Reserve Money (M_0 / High Powered Money):** Currency in Circulation $+$ Bankers' deposits with RBI $+$ 'Other' deposits with RBI.
- **Narrow Money (M_1):** Currency with Public $+$ Demand Deposits with Banking System (Current & Savings Account - CASA) $+$ 'Other' deposits with RBI. *(Most liquid aggregate).*
- **M_2:** $M_1 +$ Post Office Savings Bank deposits.
- **Broad Money (M_3):** $M_1 +$ Time Deposits (Fixed/Recurring Deposits) with the banking system. *(Most commonly used indicator of money supply in India).*
- **M_4:** $M_3 +$ All deposits with Post Office Savings Organisation (excluding National Savings Certificates / NSC).
- **Liquidity Hierarchy:** $M_1 > M_2 > M_3 > M_4$.

C. Monetary Policy Committee (MPC)

- Statutory body constituted under **Section 45ZB of RBI Act, 1934** (amended by Finance Act, 2016).
- **6 Members:** 3 from RBI (RBI Governor as ex-officio Chairperson, Deputy Governor in charge of monetary policy, 1 RBI officer) $+$ 3 external members appointed by Central Government.
- **Inflation Target:** Central Govt in consultation with RBI sets retail inflation target (CPI headline) at **4% with a tolerance band of $\pm 2\%$** (i.e., 2% to 6%).
- Meets at least **4 times a year**. Quorum is 4 members. Each member has 1 vote; RBI Governor has a **casting vote** in case of a tie.

4. Inflation Indices: CPI vs WPI Master Comparison

Parameter	Wholesale Price Index (WPI)	Consumer Price Index (CPI - Combined)
Publishing Authority	Office of Economic Adviser (DPIIT), Ministry of Commerce & Industry	National Statistical Office (NSO), Ministry of Statistics and Programme Implementation (MoSPI)
Base Year	**2011–12** (Revised from 2004–05 in 2017)	**2012**
Official Headline Anchor	Used for wholesale trade transactions	**Official headline anchor for RBI Monetary Policy** (since Urjit Patel Committee, 2014)
Services Included?	**NO services included** (Goods only)	**YES, Services are included** (Housing, Transport, Education, Medical, etc.)
Number of Commodities	**697 items**	448 items (Rural), 460 items (Urban)
Highest Weight Group	**Manufactured Products (64.23%)** > Primary Articles (22.62%) > Fuel & Power (13.15%)	**Food and Beverages (45.86%)** > Misc/Services (28.32%) > Housing (10.07%)
Price Point Measured	First point of bulk commercial transaction	Retail consumer purchase point

5. Public Finance, Deficits & Finance Commission

A. Deficit Formulas Master Sheet

1. **Fiscal Deficit (FD):** $\text{Total Expenditure} - \text{Total Receipts (excluding borrowings)}$. It represents the total borrowing requirements of the government from all sources in that year.
2. **Revenue Deficit (RD):** $\text{Revenue Expenditure} - \text{Revenue Receipts}$. Indicates that the government is borrowing to finance day-to-day consumption rather than capital asset creation.
3. **Effective Revenue Deficit (ERD):** $\text{Revenue Deficit} - \text{Grants for creation of capital assets}$. Introduced in Union Budget 2011–12.
4. **Primary Deficit (PD):** $\text{Fiscal Deficit} - \text{Interest Payments}$. Measures the current year's fiscal stance excluding the burden of past accumulated debt interest.

B. Finance Commission (Article 280) Master Matrix

- Quasi-judicial body constituted by the **President every 5 years** under Article 280.
- Recommends devolution of net proceeds of taxes between Union and States (Vertical devolution) and allocation among States (Horizontal devolution).
- **1st FC:** K.C. Neogy (1951)
- **13th FC:** Dr. Vijay Kelkar (recommending GST framework)
- **14th FC:** Dr. Y.V. Reddy (increased States' share sharply from 32% to **42%**)
- **15th FC: N.K. Singh** (2020–26): Devolution share set at **41%** (1% adjusted for newly created UTs of J&K and Ladakh). Criteria weights: Income Distance (45%), Population 2011 (15%), Area (15%), Forest & Ecology (10%), Demographic Performance (12.5%), Tax Effort (2.5%).
- **16th FC:** Constituted on 31 Dec 2023 under chairmanship of **Dr. Arvind Panagariya** (former Vice Chairman of NITI Aayog).

6. Banking & Financial Sector Milestones

- **1935 (1 April):** RBI established on recommendations of **Hilton Young Commission (1926)** under RBI Act, 1934. Initial capital ₹5 crore; nationalised on **1 January 1949**.

- **1955:** Imperial Bank of India (formed in 1921 by amalgamating Presidency Banks of Bengal, Bombay, Madras) nationalised and renamed **State Bank of India (SBI)** on recommendation of All India Rural Credit Survey Committee (AD Gorwala).
- **1969 (19 July): 14 Major Commercial Banks** (with deposits $\ge ₹50$ crore) nationalised by Indira Gandhi Govt via Banking Companies (Acquisition and Transfer of Undertakings) Ordinance.
- **1975 (2 October):** First Regional Rural Bank (**Prathama Bank**, Moradabad, UP) established on recommendations of **M. Narasimham Working Group**.
- **1980 (15 April): 6 More Commercial Banks** (with deposits $\ge ₹200$ crore) nationalised.
- **1982 (12 July): NABARD** established under NABARD Act, 1981 on recommendation of **B. Sivaraman Committee**.
- **1988:** SEBI set up as non-statutory body; granted statutory powers via **SEBI Act, 1992** on 30 January 1992.
- **Priority Sector Lending (PSL) Targets:** Total PSL target for Domestic Scheduled Commercial Banks and Foreign Banks with ≥ 20 branches is **40% of Adjusted Net Bank Credit (ANBC)**. Sub-targets: Agriculture (18%, within which 10% for Small & Marginal Farmers), Micro Enterprises (7.5%), Weaker Sections (12%). For Regional Rural Banks (RRBs) and Small Finance Banks (SFBs), total PSL target is **75% of ANBC**.

7. Agricultural Revolutions, Schemes & MSP

A. Colour Revolutions in Indian Agriculture

Colour Revolution	Associated Sector / Commodity	Pioneer / Father in India
Green Revolution	Food Grains (Wheat & Rice, HYV seeds)	**M.S. Swaminathan** (Norman Borlaug globally)
White Revolution (Operation Flood)	Milk & Dairy Development (1970)	**Dr. Verghese Kurien** (Amul / NDDB Anand)
Blue Revolution	Fisheries & Aquaculture	Dr. Hiralal Chaudhuri & Dr. Arun Krishnan
Yellow Revolution	Oilseeds (Mustard, Sunflower, Soyabean)	Sam Pitroda
Golden Revolution	Horticulture, Honey, Fruits	Nirpakh Tutej
Golden Fibre Revolution	**Jute** production	-
Silver Revolution	Eggs & Poultry	Indira Gandhi
Silver Fibre Revolution	**Cotton** production	-
Pink Revolution	Onion, Pharmaceuticals, Prawn	Durgesh Patel
Red Revolution	Meat & Tomato production	Vishal Tewari
Round Revolution	**Potato** production	-
Grey Revolution	Fertilizers	-
Brown Revolution	Leather, Non-conventional energy, Cocoa	-
Rainbow Revolution	Integrated development of all agri sectors	Announced in Agri Policy 2000

B. Minimum Support Price (MSP) Mechanism

- Announced by Central Government on recommendations of **CACP (Commission for Agricultural Costs and Prices)** before sowing season.
- Covers **22 mandated crops** $+$ Fair and Remunerative Price (FRP) for **Sugarcane**:
- 7 Cereals (Paddy, Wheat, Maize, Jowar, Bajra, Ragi, Barley)
- 5 Pulses (Gram, Arhar/Tur, Moong, Urad, Masur)
- 8 Oilseeds (Groundnut, Rapeseed/Mustard, Soyabean, Sesamum, Sunflower, Safflower, Nigerseed, Copra)
- Raw Cotton, Raw Jute, De-husked Coconut
- **Cost Concepts used by CACP:**
- $A2$: Direct paid-out costs on seeds, fertilizers, pesticides, hired labour, fuel, irrigation.

- $A2 + FL$: $A2 +$ Imputed value of unpaid family labour.
- $C2$: Comprehensive cost ($A2 + FL +$ rental value of owned land $+$ interest on owned capital assets).
- Central Govt formula since Union Budget 2018–19: MSP set at **at least 1.5 times (150%) of $A2 + FL$**.

8. Poverty Estimation Committees & Multidimensional Poverty

Committee & Year	Consumption Basket / Criteria Used	Poverty Line Benchmark (Monthly / Daily)
Y.K. Alagh (1979)	Minimum Nutritional Calorie intake	**2,400 kcal/day** in Rural areas; **2,100 kcal/day** in Urban areas.
D.T. Lakdawala (1993)	Calorie norms linked with state-specific price indices (CPI-AL for rural, CPI-IW for urban)	State-specific poverty lines; rejected uniform national basket.
Suresh Tendulkar (2009)	Shifted from calories to mixed reference basket including **Health, Education, Clothing, Footwear**	Set per capita daily consumption at **₹27.2 in rural** and **₹33.3 in urban** areas (₹816/month rural, ₹1000/month urban at 2011–12 prices). National poverty rate: **21.9%** (2011–12).
C. Rangarajan (2014)	Independent nutritional norm (2,155 kcal rural, 2,090 kcal urban + protein/fat) + non-food expenses	Set per capita daily consumption at **₹32 in rural** and **₹47 in urban** areas (₹972/month rural, ₹1407/month urban). National poverty rate: **29.5%** (2011–12).

Multidimensional Poverty Index (MPI) by NITI Aayog:
Follows Alkire-Foster methodology. **3 Dimensions and 12 Indicators** (each dimension weighted equally at $⅓$): 1. **Health (⅓):** Nutrition (⅙), Child & Adolescent Mortality (1/12), Maternal Health (1/12). 2. **Education (⅓):** Years of Schooling (⅙), School Attendance (⅙). 3. **Standard of Living (⅓):** Cooking Fuel, Sanitation, Drinking Water, Electricity, Housing, Assets, Bank Account (each 1/21).

9. International Financial Institutions & Global Economic Reports

Institution / Group	Established	Headquarters	Key Publications / Reports
International Monetary Fund (IMF)	1944 (Bretton Woods)	**Washington D.C.**	**World Economic Outlook (WEO)**, **Global Financial Stability Report (GFSR)**, Fiscal Monitor
World Bank (IBRD + IDA)	1944 (Bretton Woods)	**Washington D.C.**	**Global Economic Prospects (GEP)**, World Development Report (WDR)
World Economic Forum (WEF)	1971 (Klaus Schwab)	**Cologny/Geneva (Switzerland)**	**Global Competitiveness Report**, **Global Gender Gap Report**, Global Risks Report, Energy Transition Index
World Trade Organisation (WTO)	1 Jan 1995 (Marrakesh)	**Geneva (Switzerland)**	World Trade Report
Asian Development Bank (ADB)	1966	**Mandaluyong, Manila (Philippines)**	Asian Development Outlook (ADO)
Asian Infrastructure Investment Bank (AIIB)	2016	**Beijing (China)**	China largest shareholder, India 2nd largest shareholder
New Development Bank (NDB / BRICS Bank)	2014 (Fortaleza)	**Shanghai (China)**	First President: K.V. Kamath (India)
UNDP	1965	**New York (USA)**	**Human Development Report (HDR)** — HDI, IHDI, GII, MPI

Special Drawing Rights (SDR - Paper Gold): International reserve asset created by the IMF in 1969. The SDR basket includes **5 currencies**: US Dollar, Euro, Chinese Renminbi (Yuan - added in 2016), Japanese Yen, and British Pound Sterling.